Assisted Living SP

Class A shares – dividends	3-4%
Minimum Investment:	$2.5M
Class B shares – dividends	4-6%
Minimum Investment:	$10M

PQS ASSISTED LIVING CANADA FUND

Institutional Investment Memorandum – Executive Investment Thesis

EXECUTIVE SUMMARY

The PQS Assisted Living Canada Fund has been established to address one of the largest and fastest-growing demographic and healthcare challenges facing Canada: the severe shortage of affordable assisted living and supportive retirement housing for seniors.

The Fund seeks to develop, acquire, own, and operate a scalable network of affordable assisted living communities across Ontario and eventually throughout Canada and selected international markets. Built upon the foundation of PQS Accessible Retirement Residences, a registered Canadian charitable organization, the Fund combines institutional-grade real estate ownership, recurring operating income, healthcare integration, and measurable social impact.

Unlike traditional retirement home operators, PQS is uniquely positioned between independent living and long-term care, providing affordable supportive housing for seniors who require assistance but do not require full institutional nursing care. This creates a highly underserved market segment with significant barriers to entry and exceptional long-term demand characteristics.

For investors, the Fund offers exposure to:

- Prime Canadian real estate assets
- Essential social infrastructure
- Government-aligned healthcare solutions
- Long-term demographic growth
- Stable recurring income streams
- Attractive dividend distributions
- Capital appreciation through real estate ownership
- Strong ESG and impact investing credentials

1. MARKET OPPORTUNITY – A MULTI-BILLION-DOLLAR DEMOGRAPHIC MEGATREND

Canada’s Aging Population

Canada is experiencing a demographic transformation unlike anything seen in its modern history.

The post-war baby boomer generation is entering retirement age at unprecedented rates, creating significant pressure on housing, healthcare, and social support systems.

Ontario alone has seen its senior population increase from approximately 651,000 individuals in 1971 to more than 2.5 million today, with projections indicating growth to approximately 4.6 million seniors by 2046.

Nationally:

- More than 7 million Canadians are currently over the age of 65.
- Seniors represent the fastest-growing demographic segment.
- Life expectancy continues to increase.
- Demand for housing and support services is accelerating annually.

Healthcare Infrastructure Cannot Keep Pace

The existing healthcare and housing systems were never designed to accommodate this level of population aging.

Today:

- More than 40,000 Ontarians remain in hospitals while waiting for suitable housing solutions.
- Thousands occupy long-term care beds despite not requiring institutional care.
- Waitlists for affordable retirement housing continue to grow.
- Existing private retirement facilities remain financially inaccessible to many seniors.

This has created a substantial gap between available supply and growing demand.

Why This Opportunity Is Different

Most real estate sectors are influenced by:

- Economic growth
- Interest rates
- Employment levels
- Consumer confidence

Assisted living demand is fundamentally different. Demand is driven by:

- Age

- Health requirements
- Necessity

Seniors require housing and care regardless of economic conditions.

This creates one of the most defensive investment sectors available today.

2. THE CURRENT PROBLEM - The Missing Middle

The Canadian senior care system suffers from a significant structural gap.

Currently, seniors typically have only three options:

Option 1: Stay at Home

Many seniors remain in homes that are no longer safe or appropriate for their needs.

Challenges include:

- Social isolation
- Mobility concerns
- Caregiver burden
- Increased healthcare costs

Option 2: Traditional Retirement Homes

Most private retirement residences charge:

$5,500–$7,000+ per month

making them unaffordable for many Canadians living on pensions.

Option 3: Long-Term Care

Long-term care facilities are designed for individuals requiring extensive medical supervision.

However:

- Many residents do not require this level of care.
- Waitlists are extensive.
- Costs continue to increase.

Pressure on Government Healthcare Systems

- Provincial healthcare systems are facing enormous challenges:

Hospital Bed Occupancy

- Thousands of seniors remain in hospitals simply because suitable housing alternatives are unavailable.
- This costs the province and various government agencies upto $10,000+/day per patient burdening tax payers

Healthcare Cost Escalation

- Governments spend significantly more maintaining seniors in hospitals than in community-based housing environments.

Long-Term Care Shortages

- Construction of new long-term care facilities has failed to keep pace with population growth.

Fiscal Pressures

- The aging population is expected to become one of the largest public expenditure challenges over the next two decades.

3. OUR SOLUTION - A Fully Integrated Assisted Living Platform

PQS has developed a scalable “Aging in Place” model specifically designed to fill the gap between independent living and long-term care.

The model enables seniors to remain within the same residence while receiving progressively greater levels of support as their needs evolve.

This dramatically improves:

- Resident quality of life
- Family satisfaction
- Healthcare outcomes
- Occupancy retention

Fully Asset-Backed Investment Structure

Unlike traditional private equity funds, every investment into the Fund is supported by underlying hard assets.

Asset Composition

Fund assets consist primarily of:

- Prime Canadian land
- Purpose-built assisted living facilities
- Income-producing real estate
- Essential healthcare infrastructure

This creates substantial investor protection through tangible underlying collateral.

Why This Matters

Investors are not simply investing in projected future revenues.

They are investing into:
- Physical assets
- Appreciating real estate
- Essential infrastructure
- Revenue-generating facilities

This provides a significant margin of safety relative to many alternative investments.

AA+ Canadian Prime Real Estate

The Fund focuses on strategically located Canadian real estate assets in communities experiencing:
- Population growth
- Increasing senior populations
- Healthcare shortages
- Strong municipal support

Canadian real estate remains among the most stable real estate markets globally and serves as the foundation of the Fund's investment strategy.

Stable Revenue from Pension-Supported Residents

One of the strongest aspects of the PQS model is its resident profile.

Residents receive income from:
- Canada Pension Plan (CPP)
- Old Age Security (OAS)
- Guaranteed Income Supplement (GIS)
- Employer pensions
- Retirement savings

This creates:
- Predictable Cash Flow

    - Unlike conventional rental housing, resident income is often government-supported and highly predictable.
- Low Default Risk
    - The majority of residents receive recurring monthly income.
- Long-Term Occupancy
    - Residents typically remain for extended periods.
- Reduced Economic Sensitivity
    - Housing and care are necessities rather than discretionary expenditures.

Healthcare Integration

PQS integrates healthcare services directly into each community.

Services include:
- Personal support workers
- Medication management
- Wellness programs
- Nutrition programs
- Community services
- Caregiver respite services

This creates better outcomes for residents while reducing healthcare system costs.

Charitable Structure Advantage

PQS benefits from a CRA-registered charitable structure.

This creates significant advantages including:

Reduced Development Costs
- Development charge reductions
- Land acquisition opportunities
- Government partnerships

Reduced Operating Costs
- HST rebates
- Property tax efficiencies
- Access to grants and incentives

Enhanced Public Sector Relationships

Government entities often prioritize partnerships with charitable organizations pursuing social outcomes.

4. WHY OUR INVESTMENT IS BETTER THAN ANYTHING IN THE MARKETPLACE TODAY

1. Triple-Layer Return Profile

Most investments provide one return driver.

PQS provides three:

1. Real Estate Appreciation
    - Underlying property values increase over time.
2. Operating Income
    - Monthly revenues generated from residents.
3. Platform Growth
    - Expansion of the PQS operating platform across Canada.
    - This creates multiple sources of value creation.

2. Infrastructure Characteristics with Real Estate Ownership

Investment into this Fund should be viewed similarly to:

- Hospitals
- Utilities
- Transportation infrastructure
- Long-term care systems
    - rather than traditional real estate investments.
    - Demand is driven by societal necessity.

3. Government-Aligned Business Model

Few private investments are simultaneously aligned with:

- Municipal Objectives
    - Affordable housing
    - Community development
- Provincial Objectives
    - Healthcare cost reduction
    - Hospital capacity improvements
- Federal Objectives
    - Aging population strategies
    - Affordable housing initiatives

This alignment creates powerful structural advantages.

4. High Barriers to Entry

Competitors would need:

- Healthcare partnerships
- Municipal relationships
- Charitable governance
- Specialized operational expertise
- Regulatory approvals

These barriers create sustainable competitive advantages.

5. Demographic Certainty

- The aging of Canada’s population is not a forecast.
- It is already occurring.
- Unlike speculative industries, PQS benefits from one of the most predictable long-term demand drivers available globally.

6. Institutional ESG Credentials

PQS directly contributes to:

- Affordable housing
- Healthcare accessibility
- Senior wellbeing
- Social equity
- Community sustainability

This makes the Fund highly attractive to:

- Pension funds
- Foundations
- Family offices
- Impact investors
- ESG-focused institutions

CONCLUSION

The PQS Assisted Living Canada Fund represents a rare institutional investment opportunity combining:

Defensive Asset Protection
✓ Fully asset-backed by Canadian real estate

Stable Income
✓ Pension-supported resident base

Long-Term Growth
✓ Demographic-driven demand

Essential Infrastructure
✓ Government-supported social infrastructure

Scalable Platform
✓ Potential for 100+ communities across Ontario and beyond

Social Impact
✓ Improving quality of life for seniors while reducing strain on Canada's healthcare system

The result is an investment strategy capable of delivering long-term capital preservation, stable recurring income, meaningful real estate appreciation, and measurable social impact—positioning PQS as one of the most compelling assisted living investment opportunities in Canada today.